



Roopesh: *Satish, meet my friend Atul. He is a leading chartered accountant. Before finalising I thought he should meet with you and you can clarify his doubts. I hope you don't mind.*

Satish: *Yes, Atul. Please go ahead with your questions.*

Atul: *I have heard a lot about you. I have nothing to ask a professional like you. I know Roopesh is in safe hands. Roopesh, I know of Satish's reputation and you can be assured that you have got the best professional working for you.*

Roopesh: *Thank you. Now that Atul has given me the green signal I do not have any hesitation. I will call tomorrow and fix a time so that I can bring my wife and we can complete the formalities.*

The next day Roopesh calls Satish's secretary and asks for an appointment after three weeks as he has another urgent business appointment. The secretary refuses to reschedule the appointment.

Why did the secretary do that, especially after Satish had spent so many hours with a prospective client and the signing was a near certainty? What do you make of Roopesh's behaviour? Why was he postponing his decision? Roopesh suffers from decision paralysis. He cannot make decisions and is resilient to change. Satish had lost trust in him. He guessed that nothing would make him act. To buy time Roopesh went on a business trip, then brought his wife along, and after that his friend Atul. His wife and his friend were not even informed about the talk he had had with Satish and neither was competent enough to ask Satish any worthwhile questions. Though Roopesh harped on the urgency of the matter and insisted that it was a top priority he just could not decide what to do. Perhaps he has been behaving this way earlier as well. He fears change, so he prefers maintaining the status quo. He understands that he needs to take action but he cannot.

Loss aversion and sunk cost fallacy can lead us to take action or, as the prospect theory explains, to avoid it or delay it. Loss aversion together with several other factors such as fear of regret and resistance to change can contribute to Decision Paralysis or Status Quo Bias. This phenomenon hampers us in many areas of